10. Be a long-term thinker
11. Misunderstanding the nature of risk
12. Emotional decision-making and cognitive errors.

Have a plan

The best time to make an investment plan is before a crisis, not during it. If you have a strategy, goals, and an understanding of your own risk tolerances, once trouble comes along, you are prepared. Consider the kind of financial planning you need, then find a competent fiduciary to assist you.

Many people with simple, straight-forward financial needs—who learned the lessons in these pages—can do it themselves. (You have to be able to manage your own behavior!) Those with more complex circumstances should find a good advisor to help with creating a plan.

Excess fees

Any cost will impact your returns, but the high or excess fees we have seen examples of in the prior chapters take an enormous toll on long-term performance. At least, that is according to every academic study that has ever looked at the issue.

Fees of 2% to 3% may not sound like much, but compound that over decades, and it adds up to a lot.

The typical alternative fee structure of 2% carrying charges plus 20% of the profit is an even bigger drag on returns. Other than a handful of superstar managers (whose funds you cannot get into), the vast majority of these managers simply do not justify their costs. The same is true for most of the retail stockbrokers and for many of the so-called investment advisors (who are not fiduciaries) on Wall Street.